



Wharton School's 'Business in the Metaverse Economy' course begins this month
(Courtesy: University of Pennsylvania Wharton School)

year. While releasing their Q1FY23 results in July, the company revealed that metaverse turned out to be one of their fastest growing verticals.

"We are already working on about 60 projects globally, for 25 customers. They are coming from edtech, retail, automotive deal management, repair and maintenance of cars—we are seeing different kinds of customer base but it is clearly one of our fastest growing verticals," said C.P. Gurnani, CEO and MD, Tech Mahindra, at the press meet.

Metaverse real estate market on a growth path

According to a recent report released by global market research firm Technavio, the metaverse real estate market share is expected to increase by \$5.37 billion from 2021 to 2026, despite the possibility of growth momentum decelerating. They attribute this growth to the increasing popularity of mixed reality and cryptocurrency.

Mixed reality (MR) makes virtual reality more *readable* using tags and annotations. This widens the range of applications, and the user base as well. Plus, the growing uses of cryptocurrencies in purchasing digital assets is also

creating an interest in end-users and enterprises. Cryptocurrencies make it easier to buy and sell virtual real estate.

"The metaverse real estate market share growth by the enterprise segment will be significant for revenue generation. With an increase in the number of big giants such as Nike, Facebook, and Microsoft entering the virtual world, the metaverse real estate market has started to flourish. The advent of Web 3.0 is another major factor driving the growth of the enterprise end-user segment," says the report.

People may buy real estate on metaverse platforms, not just for their own use but also as an investment—to sell or lease to others. On the other hand, one of the biggest challenges is the uncertainty of real estate market price on the metaverse. Since the dynamics of demand, pricing and valuation of real estate in the metaverse is quite different from the physical world, it is difficult to judge the profitability of investments. This may discourage such price-sensitive consumers.

Meta vs Apple

Although Apple remarked earlier this year that it sees a lot of poten-

tial in the metaverse and is making suitable investments, we do not know the details of what exactly the company is planning. Nevertheless, Meta CEO Mark Zuckerberg seems to be locking horns with Apple already.

According to *The Verge*, Zuckerberg remarked in an internal meeting that Meta is in a "deep, philosophical competition" with Apple. He said, "This is a competition of philosophies and ideas, where they believe that by doing everything themselves and tightly integrating that, they build a better consumer experience."

He supposedly told Meta employees that the company is competing with Apple and will try to position itself as a more open and cheaper option than Apple. However, the prices of Meta's VR headsets are up by a \$100, quite contrary to his messaging.

Dubai to give the metaverse a boost, and vice versa

The Crown Prince of Dubai, Sheikh Hamdan, announced the Dubai Metaverse Strategy, which aims to make the city one of the world's top ten metaverse economies. He said the metaverse would support 40,000 virtual jobs and add \$4 billion to Dubai's economy in five years.

A committee chaired by Hamdan will supervise the implementation of strategies related to the digital economy and future technologies in Dubai, identify and develop the required skills, advise the economic sectors on the emerging digital economy, attract international companies and conferences, and build strategic partnerships with leaders in this space. The committee will also design policies for new technologies like the metaverse, AI, blockchain, Web3, VR/AR, data centres, and cloud computing.